

excellent technical prestige in the industry. Another suffered from obsolete plant, low margins, and poor morale. The average of all left much to be desired in comparison with the real leaders among chemical companies. In some cases there were intermediate products without basic raw materials. In others, there were plenty of low-profit raw materials, but few products with higher profit margins that could be built from these raw materials.

“The financial community reached some pretty definite conclusions on all this. The machinery divisions—with an internal growth rate of 9 to 10 per cent per annum (comparable to the chemical industry as a whole), with a demonstrated ability to design and sell ingenious and commercially worthwhile new products year after year, and with some of the lowest cost plants in their respective fields—represented the highest grade investment. However, until the chemical divisions could demonstrate broader over-all profit margins and other evidence of intrinsic quality, there was little desire to invest in this combined enterprise.

“Meanwhile, the management went aggressively to work to solve this problem. What did they do? Their first move was through internal promotions and external recruitments to build up a top management team. This new team spent money on modernizing old plant, developing new plant, and on research. Entirely aside from plant expenditures that are normally capitalized, it is impossible to undergo major modernization and plant expansion without running up current expenses as well. It is rather surprising that all the abnormal expenses that occurred in 1955, 1956, and 1957 did not cause reported chemical earnings to decline during that period. The fact that earnings held steady gives strong indication of the worth of what had already been done.

“In any event, if projects have been properly planned, the cumulative effect of those already completed must in time outweigh the abnormal expense of those still to come. Something of this sort might have happened as far back as 1956 if research expenditures in that year had not been increased about 50 per cent above the 1955 levels. This was done even though in 1955 these expenditures for chemical research were not far below the average of the industry, and those for machinery research were well above that of most segments of the machinery business. In spite of continuing this higher level of research, such an earning spurt was expected in the second half of 1957. At midyear the company's modernized chlorine cells at South Charleston,